

In his opening remarks, Rao made it plain that the government would have to take difficult decisions and come up with innovative solutions. 'We must get rid of the cobwebs in our mind,' he said. Rao ended the meeting by saying, 'Manmohan, you know what needs to be done. Why don't you work on this in your office in North Block and send me a draft later in the day about what I should say on TV?' That's when I first realised Manmohan Singh would be the new finance minister! I had known him for over 15 years by then. Isher and I had even taken our children to stay with his family in Mumbai when he was RBI governor. He and his wife Gursharan Kaur had gone out of their way to make the stay memorable for our boys. PM Rao could not have made a better choice of finance minister. Manmohan Singh was widely respected in financial circles internationally as well as at home. He knew he had to untie the multiple knots that bound the economy, and he knew better than most about how the system functioned and which critical levers to pull.

Dr Singh told me Rao had been frank, telling him, "Manmohan, do what is needed.... If the reforms succeed, I will claim my share of the credit. If they fail, you will be blamed"

THE DEVALUATION 'HOP, SKIP AND JUMP'

The first step in responding to the economic crisis was the announcement on July 1, 1991 that the rupee was devalued by 9 per cent. As commerce secretary, I was not in the loop about the decision. But I had no doubt it was the right step, though 9 per cent seemed too little. Two days later, a second devaluation took the cumulative depreciation to about 19 per cent—a much more reasonable adjustment to deal with the BOP [balance of payments] crisis. Dr Manmohan Singh later told me that the two-step process was adopted at the insistence of PM Rao. Dr Singh also told me that he had quickly prepared a handwritten note outlining the two-step process and obtained the PM's signature of approval. The decision was conveyed to RBI governor S. Venkitaramanan and deputy governor C. Rangarajan, who was actually the official in charge of exchange rate management. They were, of course, aware of the impending devaluation and supported the idea. The procedure was informally codenamed 'Hop, Skip and Jump' so they could refer to it on the telephone while maintaining secrecy.

The first devaluation provoked strong criticism from many quarters. When Dr Manmohan Singh briefed President R. Venkataraman on the need for devaluation, the President was not at all happy. The President also conveyed his unhappiness to the PM, who was sufficiently alarmed that he asked the finance minister to hold back the second devaluation! As it happened, Manmohan Singh had already instructed the RBI to take the second step before markets opened on July 3. When he called Rangarajan again at the PM's request to check whether it was possible to hold back the second step, Rangarajan said, in the code they had agreed, 'But I have already jumped.'

For Manmohan, religion is a personal matter, but...behind that gentle exterior is a Sikh who derives immense strength from the Gurbani

CHAMPION OF ECONOMIC GROWTH

Both Isher and I went to see the finance minister deliver the Budget speech live in the House. He concluded on a distinctly upbeat note, which has been much quoted: "As Victor Hugo once said, 'No power on earth can stop an idea whose time has come.' I suggest to this august House that the emergence of India as a major economic power in the world happens to be one such idea. Let the whole world hear it loud and clear. India is now wide awake. We shall prevail. We shall overcome."

Manmohan Singh's upbeat conclusion has turned out to be remarkably prescient. Exactly 10 years later, in 2001, a Goldman Sachs research team led by Jim O'Neill identified India as one of the BRIC countries (Brazil, Russia, India, China) likely to be the main source of global growth in future. (The acronym was later expanded to BRICS with the addition of South Africa.) In the years that followed, Russia and Brazil wobbled quite a bit. China, after growing at over 10 per cent for 30 years, has now slowed down as expected. India's overall growth has varied,